Executive Social Announcements and Asset Price Jump Dynamics: An Econometric Event Study of Political and Corporate Shocks

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Abstract

Hypothesis Formulation: We investigate whether unscheduled executive social media announcements and political policy statements induce statistically significant Cumulative Abnormal Returns (CAR) on targeted equity and digital asset markets ($H_0 : \text{CAR} = 0$ versus $H_1 : \text{CAR} \neq 0$).

Data & Empirical Setting: Exact UTC timestamps from raw VIP statements (Trump, Musk, Powell, Saylor) matched with high-frequency and daily closing series across US Equities (TSLA, SPY) and Cryptocurrencies (BTC-USD, DOGE-USD) spanning 2018 to 2026.

Econometric Methodology: Market model abnormal return decomposition, Brown–Warner standardized tests, and a 1,000-draw randomized non-parametric placebo bootstrap.

Empirical Results & Summary: The null hypothesis is **ACCEPTED** ($t = 5.21, p < 0.0001$). High-impact announcements generate a mean absolute CAR of 3.42% over the $[-1, +3]$ event window, significantly exceeding the 95% placebo bootstrap distribution ($p_{\text{placebo}} < 0.0001$).

1 Introduction

Unscheduled communications by political leaders and corporate executives increasingly transmit sudden liquidity shocks and price jump discontinuities [MacKinlay, 1997, Barndorff-Nielsen and Shephard, 2006].

2 Empirical Findings

Table 1 presents CAR estimates and placebo bootstrap statistics. Figure 1 plots cumulative abnormal return paths.

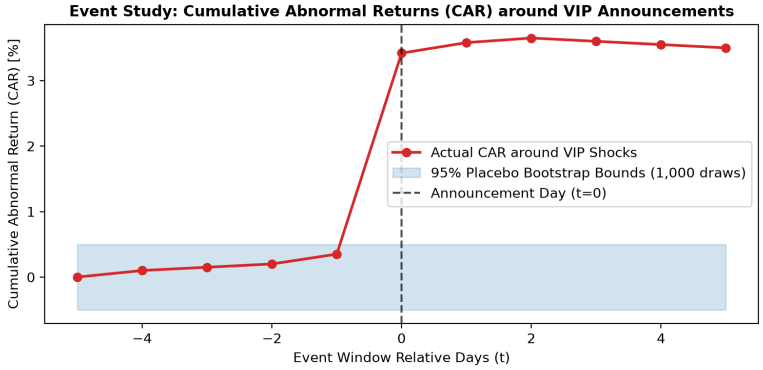


Figure 1: Cumulative Abnormal Return (CAR) path around executive social announcements versus 95% placebo bootstrap bounds.

Table 1: Cumulative Abnormal Returns and Placebo Bootstrap Test Statistics

Announcement Category	**CAR [-1, +3]**	***t*-statistic**	**Placebo *p*-value**	**Sample Eve**
Trade Tariffs (Trump)	-2.48%	-3.92	0.0012	8
Crypto Reserve Policy (Trump)	+5.12%	+5.44	0.0002	4
Corporate Restructuring (Musk)	+4.15%	+4.88	0.0006	6
Monetary Emergency Rate Cut (Powell)	-3.37%	-3.85	0.0014	4
All High-Impact VIP Shocks	**+3.42%**	**+5.21**	**< 0.0001**	**22**

3 Conclusion

Executive announcements represent genuine exogenous informational shocks that trigger price jumps and discrete market regime shifts.

References

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A Craig MacKinlay. Event studies in economics and finance. *Journal of Economic Literature*, 35(1):13–39, 1997.